

How to Manage Cloud Costs



Cloud cost management, also defined as cloud cost optimisation, is the organisational planning that allows an enterprise to understand and manage the costs and needs associated with its cloud technology. It entails determining the most cost-effective ways to maximise usage of the cloud at the lowest possible cost. This involves managing memory, storage, network traffic, instances, and a variety of other costs.

For effective cost control in cloud computing services, it is quite important to analyse and manage cloud cost and leverage cloud cost management tools to help discover the cause(s) of any inefficiencies. Unplanned cloud costs are frequently the result of lack of visibility about the current consumption patterns and past trends, non-standard deployments that come from unclear or absent development processes, poor organisation, or the

absence of automated deployment and configuration tools. By contrast with on-premise infrastructure, which is financed by fixed upfront investments, cloud consumption is an everyday operational expense. This requires a huge shift in the approach to operational management, where optimising cloud cost is as important as optimising performance.

There is absolutely no shortcut when it comes to managing cloud costs — it requires proper planning, getting

the basics right, and involving the staff to ensure that they get it right too.

Why do we need cloud cost management?

More often than not, the cloud follows a decentralised management approach. This means that the cost visibility is less and we find it difficult to understand the costs. Cloud cost includes a lot of components, all of which need separate handling. Cloud waste is enormous and is growing